Hold Recommendation

Mullen Group Ltd. (TSX: MTL)

Sector: Industrials

Industry: Transportation

Target Price: $22.68 (9.6% Upside)

Current Price as of May 5, 2026: $21.50

Executive Summary

This report on Mullen Group Ltd. (TSX: MTL) issues a HOLD recommendation, based on a 12-month price target of CA$22.68 and a 5-year price target of CA$21.14, derived from both relative analysis and intrinsic valuation methodologies.

Mullen Group is a diversified Canadian logistics company at its core, but one being increasingly defined by its continuous acquisitions rather than operational growth. Analysis indicates that stagnation in organic growth has resulted in lower return on invested capital (ROIC) and an increased dependence on mergers and acquisitions (M&A) to maintain headline growth. Segment-level revenue decomposition and freight market analysis lead to the conclusion that near-term performance will benefit from cyclical freight recovery and the full-year impact of recent acquisitions. However, continued ROIC compression, goodwill expansion, and rising amortization expenses are expected to limit long-term upside potential.

Investment Thesis

Thesis #1: Structural Compression Of Capital Efficiency

Mullen's ROIC has declined since 2022 from 12% to 6% in 2025, which falls below the calculated weighted average cost of capital (WACC) of 6.6%. Projected to remain below cost of capital throughout 2027 to 2030 from the forecasted horizon. This is a reflection on net operating profit after tax (NOPAT) contraction from CA$163M (2022) to CA$127M (2025), rise in amortization from CA$13.5M to CA$22.3M, while invested capital has expanded 34%. The implication is that every dollar Mullen reinvests at its current return will destroy value relative to its cost of capital which is important considering management has signaled continued M&A as the primary growth vehicle.

Thesis #2: Portfolio Diversification Provides Downside Protection

Mullen's 42 business units operating under 4 segments are designed to provide less risk exposure and offer downside protection relative to peers. Their single largest customer accounts for only 2.3% of consolidated revenue, with no segment accounting for more than 37% of revenue mix and market exposure to consumer goods, energy, industrial, construction, and natural resources. Mullen also owns real estate valued at CA$687 million, which serves as a hedge against regional lease cost inflation. These factors support the HOLD rating by reducing downside scenarios.

Thesis #3: Acquisition-Driven Revenue Expansion

Of the CA$657M revenue increase from 2021 to 2025, CA$570M came from acquisitions and CA$35M from fuel surcharge inflation. The CA$57M or 3.8% cumulative organic business unit growth was concentrated entirely in the 2022 post-COVID freight boom; like-for-like revenue has been declining since 2023 (-2.4%), 2024 (-4.9%), and 2025 (-2.5%). This trend indicates an increased reliance on future M&A to sustain headline growth, with management stating "the only plausible way to grow" in current market conditions. This model compounds already increasing goodwill and amortization drag.

Figure 1: Company Data

Dividend Yield	3.96%
Market Cap	CA$1.97B
Shares Outstanding	95.91M
52-Week High	CA$21.70
52-Week Low	CA$12.98
EV/NTM EBITDA	7.9x

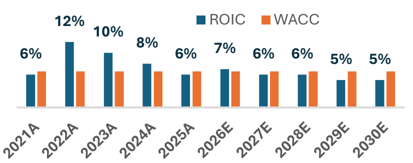
Source: Capital IQ, Author's Analysis

Figure 2: Valuation Result

RECOMMENDATION	HOLD
Valuation Date	05.05.2026
Current Price	CA$ 21.50
Target Price (1-year)	CA$22.68 (+9.6%)
Target Price (5-year)	CA$ 21.14 (-1.7%)

Source: Author's Analysis

Figure 3: ROIC vs WACC



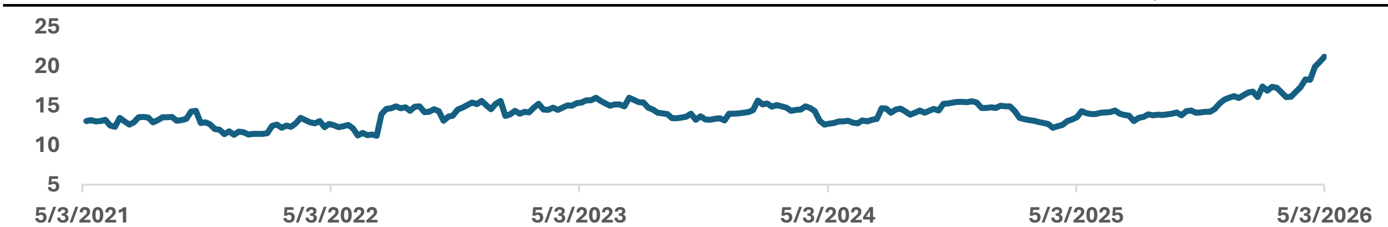
Source: Author's Analysis

Figure 4: DCF Target Price Path

Forecast Year	Exit Multiple	Terminal Growth	50/50 Blended
2026E	$22.05	$23.30	$22.68
2027E	$21.68	$22.91	$22.29
2028E	$21.31	$22.51	$21.91
2029E	$20.93	$22.12	$21.52
2030E	**$20.56**	**$21.72**	**$21.14**

Source: Author's Analysis

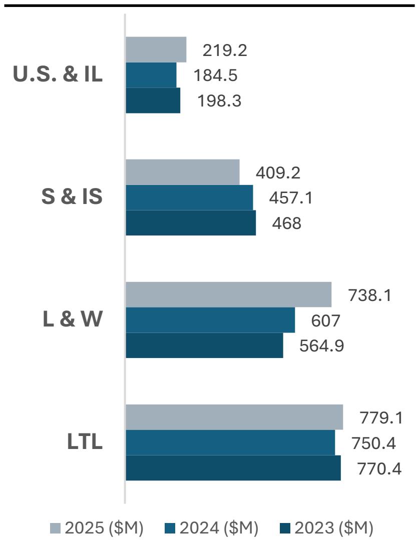
Figure 5: MTL 5-year Stock Chart



BUSINESS OVERVIEW

Founded in 1949 by Roland Mullen, Mullen Group Ltd. (TSX: MTL) was originally purposed as a single truck operation. The company grew alongside the western Canadian economy until it went public in 1993, raising CA$10.5 million through it's IPO. Since then, MTL has transitioned from a regional trucking company to a more diversified logistics platform. Today, they rank among Canada's largest diversified logistics platforms, having one of the largest LTL terminal network in Canada, 42 independently operated business units across four segments (Less-Than-Truckload (LTL), Logistics & Warehousing, Specialized & Industrial Services, U.S. & International Logistics) **(Figure 6)** and owns a significant portfolio of real estate network.

Figure 6:
Mullen Group Segment Revenue



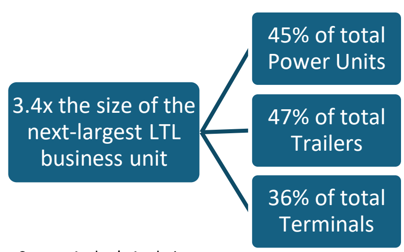
Source: Company filings (Annual AIF)

Core Operations

Less-Than-Truckload (LTL) – 36.3% of revenue (CA$779.1M)

LTL is MTL's largest segment with a total of 12 business units. Delivering 16,000 shipments of consumer goods per day to more than 5,500 communities across central and western Canada. This segment operates at 120 terminals, of which 78 are owned and 42 are leased. Their total fleet comprises 2,229 power units, 4,125 trailers, and 4,093 employees. Gardewine Group, MTL's largest business unit by more than 3x the size of the next-largest unit, operates under this category, with 1,010 power units, 1,936 Trailers, 1,604 personnel **(Figure 7)**. Their top 10 customers in the LTL segment account for 16.1% of total segment revenue, and no single customer accounted for more than 10% of Mullen Group's total consolidated revenue, giving them a strong diversification advantage. Their fleet handles a wide variety of freight, giving them notable customer-sector exposure across commercial supply, food & beverage, consumer products, wholesalers, government, healthcare, and forestry and mining.

Figure 8:
Gardewine vs. Other Business Units

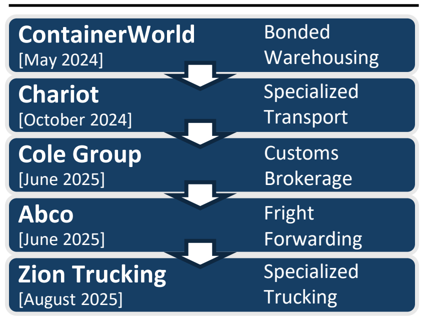


Source: Author's Analysis

Logistics & Warehousing – 34.4% of revenue (CA$738.1M)

MTL's logistics & warehousing segment is their fastest-growing division and showed the strongest growth trajectory among all segments. Their focus is on delivering multimode freight and supply chain solutions across all of NA. This includes Canada as their primary market, the United States, and Mexico to a lesser extent. This segment is composed of 13 business units, with 2,776 Personnel, 1,100 Power Units, 2,497 Trailers, and 89 Terminals. The 21.6% year-over-year growth in 2025 was driven by organic growth and acquisitions, with the most notable being Cole Group **(Figure 8)**. This growth is a deliberate strategic pivot by management, quote "the asset-light and technology-centric nature of logistics will be a continued focus." Just like LTL, their customer concentration is low, with the top 10 customers accounting for only 24.7% of segment revenue, and no single customer exceeding 10% of total revenue.

Figure 9:
Acquisitions, 2024 – 2025

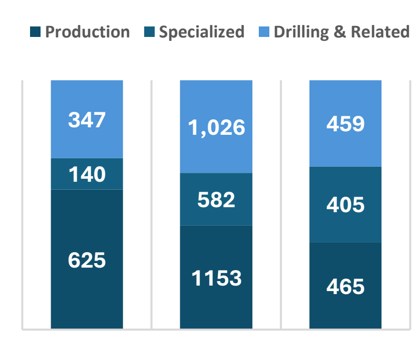


Source: Company filings (Annual AIF)

Specialized & Industrial Services – 19.1% of revenue (CA$409.2M)

This segment serves Canadian sectors that require specialized equipment, this includes energy, infrastructure, construction, and natural resources. The segment is split into 3 categories: (1) Production services, which include processing and production of light/heavy oil and natural gas liquids, comprising 4 business units; (2) Specialized services, covering dredging and dewatering, civil construction, hydrostatic testing, and oversize transportation, this sub-category relates to natural resources and infrastructure, comprising 5 business units; (3) Drilling & Drilling Related Services, This is the upstream focused services tied to drilling activities, including transportation, storage of oilfield fluid, drilling rig relocation, and hauling, comprising 6 business units **(Figure 10)**. This segment's contribution declined from 22.9% in 2024. Management attributes the weakness to increased market volatility, policies affecting Canada's oil and natural gas industry, and customer caution amid uncertain commodity prices.

Figure 10:
S & IS: Equipment And Personnel By Sub-Category



Source: Author's Analysis

U.S. & International Logistics – 10.2% of revenue (CA$219.2M)

This segment specializes in logistics services, including freight and customs brokerage, for customers in the United States and Mexico, operating through two business units: HAUListic and Cole International USA. It is their only segment with zero rolling stock, which directly translates to increased FCF and ROC. The 18.8% year-over-year growth from 2024 is entirely due to acquisitions, not organic growth. Specifically, the June 2025 takeover of Cole Group, whose Canadian subsidiary (Cole International Inc.) was integrated into Logistics & Warehousing, while the U.S. arm (Cole International USA Inc.) anchors this segment. This is the only segment operated entirely international, providing pure U.S./Mexico exposure.

INDUSTRY OVERVIEW

Cross-Border Policy Friction Reshapes Trade Flows – NEGATIVE

Canada-United States-Mexico Agreement (CUSMA) is a trilateral trade deal that came into effect in 2020 and is up for review in 2026. An unfavorable outcome of CUSMA review **(Figure 11)** would weaken the competitiveness of Canadian exports and reduce cross-border freight volumes. With most signs pointing to unfavorable outcomes, the implications include higher trade costs, counter-tariffs, supply chain disruptions, and a weaker Canadian dollar that pushes up consumer prices.

Labour Market Faces A Structural Shortage – NEGATIVE

Over 90% of goods in Canada are transported by truck, and E-commerce is expected to grow over the coming years **(Figure 12)**; all signs point to higher demand for truckers. Yet the shrinking supply due to an aging workforce **(Figure 13)**, turnover rate near 100%, demanding working conditions, and low female participation rate at only 4% despite efforts to appeal to the demographic, industry gap between demand and supply is projected to widen materially in the long run, with Trucking HR Canada forecasting a shortage of 55,600 drivers by 2035. Entry-Level Driver Training (ELDT) requirements mandated effective in 2025, also mean training and compliance costs for new drivers will be significantly higher, raising barriers to entry in an already dwindling labour market.

Recovering Freight Recession – POSITIVE

The Canadian trucking industry is exhibiting signs of recovery following a prolonged freight recession that began in 2022, mainly caused by supply and demand imbalances. Retail sales in Western Canada increased by 3.37% over a five-month period **(Figure 12)**. E-commerce penetration continues to rise due to changes in customer behavior, reaching 52 billion in 2025, which represents 13% of total retail sales. The transition from traditional retail distribution to direct-to-consumer models will most likely see an increase in shipment frequency and less-than-truckload (LTL) volumes.

Technology Adoption Accelerates On All Fronts — NEUTRAL

As of 2025, telematics and third-generation Electronic Logging Devices are now standard across all large power units; this federally regulated law raises compliance costs and barriers to entry for smaller or individual operators, which will result in reducing threats of new entrants. The industry has also seen extensive adoption of artificial intelligence, 70% of transport and logistics companies reported AI integration in the early stages in 2025, a 17% increase from the previous year. The use of AI seeks to improve driving route optimization, fleet planning, and predictive maintenance. Warehouse robotics and AI-powered logistics platforms are seen as a priority for the industry, particularly in fulfillment and distribution. NA's transportation sector is now facing the most complex cybersecurity threats in its history due to all the implementations; it is considered a top-tier IT risk.

Net-Zero Target Pressures Margins — NEGATIVE

The Canadian trucking and logistics industry will continue to face mounting environmental and compliance costs as trends in environmental protection law take effect. Federal carbon pricing on diesel continues to escalate, and Medium- and Heavy-Duty Zero-Emission Vehicle (MHZEV) mandate requires 35% of new vehicle sales to be zero-emission by 2030 and 100% by 2040. Phase 2 GHG emissions standards impose progressive fuel-efficiency requirements on new heavy-duty trucks, raising equipment costs across the industry.

Figure 11:
Scenario Analysis of CUSMA review

Base-Case Projection:
1. The current regime is maintained (reduces uncertainty)
2. CUSMA is extended, with limited changes

CUSMA is Significantly Renegotiated:
Increases effective trade costs (stricter rules, reduced tariff preferences)

Members Withdraw from CUSMA:
Significant increase in trade barriers

No Agreement is Reached:
1. Reviewed every year until negotiated or agreement expires
2. Prolonged uncertainty

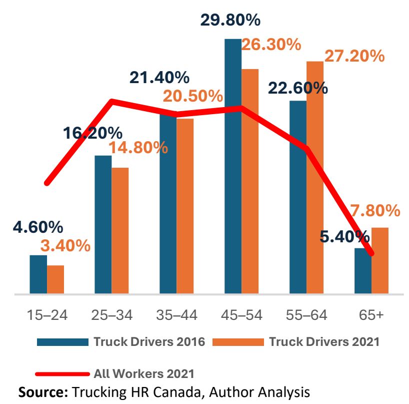
Source: Bank of Canada

Figure 12:
Western Canada Retail Trade Sales

Province	Oct 2025	Feb 2026	% Change
Alberta	$8.87B	$9.20B	+3.66%
British Columbia	$9.49B	$9.75B	+2.66%
Saskatchewan	$2.18B	$2.27B	+4.11%
Manitoba	$2.33B	$2.43B	+4.43%
Total	$22.87B	$23.65B	+3.40%

Source: Statistics Canada, Author Analysis

Figure 13:
Age Distribution: Truck Drivers vs. All Canadian Workers



Source: Trucking HR Canada, Author Analysis

COMPETITIVE POSITIONING

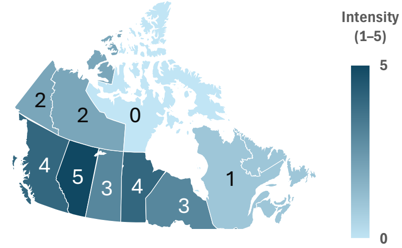
Diversification Strategy

Mullen's single-largest customer accounts for only 2.3% of their total revenue; this contradicts many of their competitors, such as Cargojet, with high customer concentration in Amazon, DHL, and Canada Post; customer concentration risk is a known industry vulnerability. Their four segments each have different cyclical profiles and serve different end markets, reducing correlation. They are one of the few publicly traded North American trucking firms operating across all major freight verticals in a single integrated platform, providing its stock with exposure to multiple sectors. Due to recent shifts, scale and diversification have increasingly been favored as compliance, technology, and capital costs rise. Their higher mix of company-owned equipment and contractor-owned equipment means they will yield lower margins during periods of peak demand but protect them from downside risk and fixed costs during periods of lower demand.

Regional Focus

Mullen's strategy toward servicing communities outside major city centers provides regional pricing power and reduces direct competition with urban-focused freight networks; LTL networks require terminal density to be competitive; this gives them a monopoly due to a high barrier to entry once established. They minimize exposure to the cross-border full truckload market to mitigate CUSMA and tariff exposure. They carry a CA$687M value of real estate primarily in their high intensity region **(Figure 14)**, holding LTL terminals and operating facilities, providing a hedge against regional lease cost inflation.

Figure 14: Mullen's Geographic Presence



Source: Company Filings (Annual MD&A), Author Analysis

FINANCIAL ANALYSIS

	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
DuPont Analysis										
Gross Margin	29%	29%	30%	30%	30%	30%	30%	29%	29%	29%
EBITDA Margin	16%	16%	16%	17%	15%	15%	14%	14%	13%	13%
Net Profit Margin	5%	8%	7%	6%	4%	5%	4%	4%	3%	3%
Asset Turnover	75%	99%	91%	81%	83%	89%	88%	86%	84%	83%
Return on Assets (ROA)	4%	8%	6%	5%	4%	4%	4%	3%	3%	3%
Financial Leverage (A/E)	2.1x	2.1x	2.2x	2.3x	2.3x	2.3x	2.3x	2.3x	2.2x	2.2x
Return on Equity (ROE)	8%	16%	14%	10%	8%	9%	8%	7%	6%	6%
Return on Invested Capital (ROIC)	6%	12%	10%	8%	6%	7%	6%	6%	5%	5%
Liquidity Ratios										
Current Ratio	1.2x	1.6x	0.8x	2.3x	2.2x	2.1x	2.0x	1.9x	1.8x	1.8x
Quick Ratio	1.1x	1.4x	0.7x	2.1x	2.0x	1.9x	1.8x	1.7x	1.7x	1.7x
Debt Ratios										
Interest Coverage Ratio	4.2x	7.0x	5.9x	4.6x	3.2x	3.7x	3.5x	3.2x	3.0x	2.9x
Debt / Adjusted EBITDA	2.7x	2.0x	2.1x	3.0x	3.3x	3.4x	3.4x	3.5x	3.6x	3.6x

Revenue Growth Driven by Acquisitions

Analysis indicates that revenue increased from CA$1.48 billion in 2021 to CA$2.13 billion in 2025, representing a CA$657 million (44%) increase. However, CA$570M came from acquisitions and CA$35M from fuel surcharge pass-throughs. **(Figure 17)**. Without fuel surcharges and acquisitions, business units contributed only CA$57 million (3.8%) in cumulative growth over the four-year period, which was entirely attributable to the post-COVID-19 freight boom. Like-for-like revenue declined in each of 2023, 2024, and 2025 **(Figure 15)**. This suggests that headline growth is not reflective of demand for its services, and that the company's reported expansion has been funded entirely through its M&A activities.

Initial Phase Of A Freight Market Recovery

An analysis of Mullen's recent performance indicates weakening organic demand throughout all segments. However, industry conditions indicate that a portion of the decline is cyclical, with the sector entering early stages of stabilization and probable recovery. Freight market **(Figure 16)** show that demand weakened during early to late 2025, while excess capacity imposed notable pressure on pricing. As carrier losses persist, capacity exits continue to reduce available supply, helping to improve the balance between loads and equipment. Unstable signs of recovery emerged from late 2025 as demand stabilizes, and supply tightens. As a result, performance could recover as freight volume is expected to rise, weaker competitors exit the market due to tightening, and pricing conditions normalize.

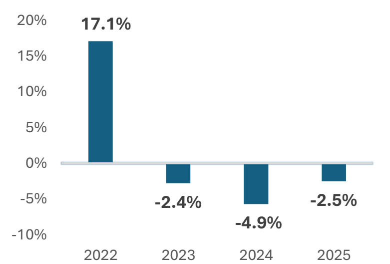
Cyclical Downturn Exposes Structural Weakness

The recent downturn facing the industry has highlighted the problem with Mullen's acquisition-driven growth strategy, which prioritizes external expansion over organic volume growth. In an industry currently facing excess capacity and competitive pricing, existing business units face persistent margin pressure, and management has stated that acquisitions were the only plausible way to grow in this market. EBITDA margin declined to 15% in 2025, net margin down to 4%, return on equity (ROE) down to 8%, and return on invested capital (ROIC) down to 6%. These results suggest that increased scale does not provide a sustainable operational advantage but is instead associated with margin dilution, higher financing costs, and reduced capital efficiency.

Elevated Leverage Limits Financial Flexibility

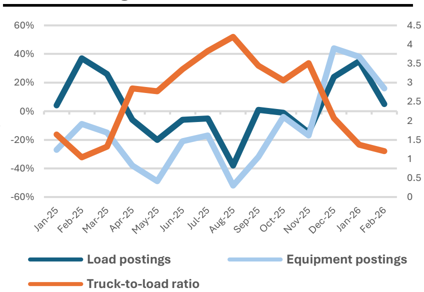
Debt/Adjusted EBITDA rose to 3.3x in 2025 due to cash used in investing activities, as it rose to CA$251.2M in 2025 from CA$111.9M in 2024. While OIBDA decreased from CA$332.2M to CA$315.6M. The company's leverage is still within its covenant threshold; the rise in leverage reduces financial leeway, yet growth model is still dependent on continued acquisitions.

Figure 15: Revenue Growth Excluding Acquisitions And Fuel



Source: Author Analysis

Figure 16: Freight Market Indicators



Source: Loadlink Technologies, Author Analysis

Figure 17: Revenue Bridge

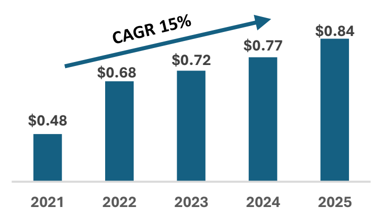
	2022	2023	2024	2025
Total YoY change	**527.9**	**-8.8**	**-2.6**	**146.6**
From acquisitions	162.7	86.9	117.5	215.7
Divestitures	0	-11	0	0
Fuel surcharge	112.6	-36.8	-22.4	-18.4
Business unit ex-fuel ex-acquisitions	252.6	-47.8	-97.6	-50.7

Source: Author Analysis

Sustained Dividend Growth Amidst Declining Profitability

Mullen continues to prioritize shareholder returns, raising its annual dividend from $0.48 per share in 2021 to $0.84 per share in 2025, with plans to maintain it at that level in 2026 **(Figure 18)**. This approach appears sustainable given the company's capacity to generate excess cash flow despite ongoing operating and financing requirements. One of Mullen's objectives is to maintain equity buybacks, having repurchased 856,200 shares for $11.5M in 2025. All these provide investors with income, although profitability remains below stronger historical levels. However, the buyback was more than offset due to share issuance resulting from the conversion of debentures. Forecasts show that return on invested capital (ROIC) will only recover in the long run, since it will continue to be constrained by margin pressure and acquisition-driven reinvestment. While Mullen's shareholder returns are well supported by cash flow, upside requires ROIC recovery and future capital allocation.

Figure 18:
Dividend Growth

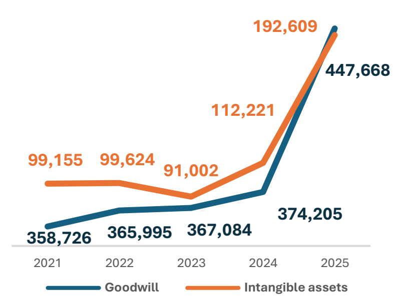


Source: Company Filings (Annual MD&A)

Balance Sheet Increasingly Weighted Toward Intangibles

Mullen's goodwill and intangible assets spiked to CA$640.3M in 2025 **(Figure 19)**, now accounting for 24.9% of total assets, up from 20.9% the previous year. The CA$153.9M increase was driven entirely by the acquisitions of Cole Group and Zion. Amortization expense rose from CA$14.5M in 2024 to CA$22.3M in 2025, guaranteeing further compression as the full year of Cole amortization hits, and expecting 2026 amortization to rise again since 2025 only captured 7 months of Cole's acquisition, leading to further reduction in return on equity (ROE) and earnings per share (EPS).

Figure 19:
Goodwill And Intangible Assets



Source: Author Analysis

Valuation

After conducting both relative analysis and intrinsic valuation, the result of our valuation is the target price of CA$21.14 per share, which is a 1.7% downside from Mullen's closing price of CA$21.50 on May 6, 2026. With the discounted cash flow methodology, the calculation assigns a 50% split between terminal growth and exit multiple methods. The foregoing of comparable companies analysis in the valuation was an intentional decision given the thesis that the company's intrinsic value is determined by long-term capital efficiency rather than peer-relative trading, particularly given Mullen's positioning as a unique publicly traded Canadian diversified transport platform with four operationally distinct segments; however, comparable company analysis was used as a cross-check in each step.

Weighted Average Cost of Capital (WACC)

Cost of Debt: Consideration of three methodologies was given to estimate Mullen's pre-tax cost of debt: (1) principal-weighted average coupon on outstanding private placement notes (2) company's disclosed average annual fixed rate of 6.13% (3) a synthetic credit spread approach using interest coverage ratios. Upon calculation of the first method, we come to a principal-weighted note coupon of 6.13%, with Mullen's outstanding Series M, N, O, and P Notes, matching management's own disclosed fixed rate. The value calculated reflects observable rate that Mullen borrows from creditors, capturing the most recent issuance at current market pricing. Apply statutory tax rate of 25%, the after-tax cost of debt results in 4.6%

Cost of Equity: Mullen's beta of 0.86 was calculated using 5-year weekly regression against the S&P/TSX Composite Index, afterward adjusted using Blume methodology; adjustment was made to reflect a more conservative view since their raw regression showed a beta of 0.79. We used CAPM to calculate cost of equity, applying Canada's 10-year government bond yield at 3.63% and a mature-market equity risk premium of 4.23%. CAPM derived a cost of equity of 7.27%, roughly in line with their 5-year average ROE of approximately 9%

WACC: At Mullen's current capital structure, applying cost of equity of 7.27% and after-tax cost of debt of 4.6% results in a WACC of 6.6% **(Figure 15)**. Sitting below Damodaran's industry for trucking of 7.0%, given their diversified revenue base, conservative leverage, and lower equity beta compared to peers.

Terminal Growth and Exit Multiple

Terminal Growth: Mullen's auditors reviewed a terminal growth rate of 2.0% across all business units for the 2025 goodwill impairment test, representing a reduction from the 2.5% rate used in the 2023 test. The value of 2.0% stays in line with the Bank of Canada's long-run inflation target. Applying the rate to a normalized terminal UFCF of $116M yields an implied share price of CA$21.72 or 1.0% upside from the current price of CA$21.50 (**Appendix 11).**

Exit Multiple: The selected exit multiple of 7.8x EV/EBITDA represents a modest compression from the current multiple of 8.6x. This assumption is based on three considerations: (1) the company's recent range of 7.5x – 8.5x, (2) the median of scaled North American transportation peers at around 10.5x, and (3) Damodaran's trucking industry average of 7.0x. The 80-basis-point reduction incorporated into the 7.8x assumption reflects structural deterioration and ROIC remaining below WACC throughout the forecast period of 2026 - 2030. Applying the rate to a normalized terminal UFCF of $116M yields an implied share price of CA$20.56 or 4.4% downside from the current price of CA$21.50 (**Appendix 11).**

Figure 20:
Peer Beta Comparison

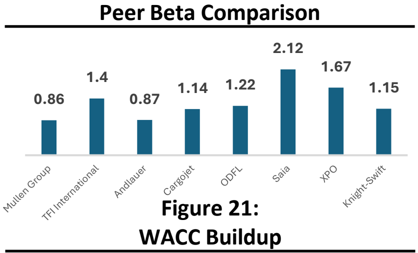


Figure 21:
WACC Buildup

Pre-tax cost of debt	6.13%
Tax rate	25%
After-tax cost of debt	**4.6%**
Risk-free rate	3.63%
Market risk premium	4.23%
Beta	0.86
Cost of equity	**7.27%**
Market value of equity	$1,967.18M
Net debt	$646.8M
Enterprise value	$2613.98M
WACC	**6.6%**

Source: Author Analysis

Appendix 1: Pestel Analysis

Factors	Impact
Political	• All scenario outcome for CUSMA from Bank of Canada leads to higher trade costs and barrier. • The CRA and ESDC are intensifying enforcement against carriers misclassifying drivers as independent contractors to avoid taxes and labour protections.
Economic	• Economic growth is expected to average around 1¼% over the projection horizon, and inflation remains near 2%. • CAOEC's 2026 forecast points to modest year-over-year recovery in Western Canadian drilling and service activity. • Accelerating Canadian retail sales, led by Western provinces, signal a recovering goods economy that should translate into improving LTL freight demand. • In 2025, Canadian digital commerce reached an estimated $52.0 billion, making up over 13.0 percent of total retail sales.
Social	• Despite a 27% increase in women joining trucking from 2016-2021, female representation remains at just 4% of drivers and 16% of the broader workforce. • Q1 2026 figures show the trucking labour market shrinking on all fronts, signaling cyclical contraction. • The Canadian truck driver workforce is aging, with retirements outpacing new entrants — a structural supply constraint capping industry capacity growth.
Technological	• 70% of companies now report adopting AI solutions, up 17% from last year's survey. • The autonomous long-haul trucking market reached $2.7 billion in 2024 and is projected to grow at a 32% CAGR to $42.6 billion by 2034. • North American transportation sector faces the most complex and dynamic cyber threat environment in its history by the year 2026.
Environmental	• Developing regulations requiring 35% of new medium- and heavy-duty vehicle sales to be zero-emission by 2030, and 100% by 2040. • Federal carbon pricing and Phase 2 GHG emissions standards continue to raise operating costs for diesel-dependent fleets industry-wide.
Legal	• As of 2025, all federally regulated carriers must use certified third-generation Electronic Logging Devices. • Entry-Level Driver Training has been introduced for all new commercial drivers, with comprehensive curriculum requirements.

Source: Statistics Canada, Company Filings (Annual MD&A), Trucking HR Canada, Government of Canada, Author Analysis

Appendix 2: Income Statement(2021-2025)

	2021	2022	2023	2024	2025
Revenue	1,477,434	1,999,453	1,994,721	1,989,253	2,133,642
Direct operating expenses	1,055,392	1,427,939	1,404,956	1,385,672	1,493,675
Selling and administrative expenses	185,664	241,625	261,580	271,381	324,330
Operating income before depreciation and amortization	236,378	329,889	328,185	332,200	315,637
Depreciation of property, plant and equipment	73,211	71,122	73,223	73,358	74,468
Depreciation of right-of-use assets	17,862	24,189	29,133	43,009	49,631
Amortization of intangible assets	22,891	17,202	13,533	14,536	22,269
Finance costs	30,381	35,043	37,055	42,186	54,450
Net foreign exchange (gain) loss	-723	10,787	-4,203	6,259	-8,650
Other expense (income)	-3,239	-39,335	-3,696	-914	3,649
Income before income taxes	95,995	210,881	183,140	153,766	119,820
Income tax expense	23,559	52,262	46,421	41,505	28,710
Net income	72,436	158,619	136,719	112,261	91,110
Earnings per share:					
Basic	0.75	1.7	1.52	1.28	1.03
Diluted	0.75	1.62	1.45	1.23	1
Weighted average number of Common Shares outstanding:					
Basic	96,069	93,352	89,932	87,852	88,303
Diluted	96,130	102,407	99,100	97,226	96,311

Source: Company Filings (Annual Financial Report), Author Analysis

Appendix 3: Cash Flow Statement (2021-2025)

	2021	2022	2023	2024	2025
Net income	72,436	158,619	136,719	112,261	91,110
Adjustments for:					
Depreciation and amortization	113,964	112,513	115,889	130,903	146,368
Finance costs	30,381	35,043	37,055	42,186	54,450
Stock-based compensation expense	379	743	1,054	914	1,265
Foreign exchange loss (gain) on cross-currency swaps	514	-9,044	3,079	-19,542	3,962
Foreign exchange (gain) loss	145	20,498	-7,458	32,471	-19,030
Other expense (income)	-3,239	-39,335	-3,696	-914	3,649
Income tax expense	23,559	52,262	46,421	41,505	28,710
Cash flows from operating activities before non-cash working capital items	238,139	331,299	329,063	339,784	310,484
Changes in non-cash working capital items from operating activities	-5,615	-28,854	13,916	1,737	40,519
Cash generated from operating activities	232,524	302,445	342,979	341,521	351,003
Income tax paid	-34,557	-39,475	-66,232	-45,404	-45,023
Net cash from operating activities	197,967	262,970	276,747	296,117	305,980
Cash flows from financing activities:					
Bank indebtedness	89,045	-66,245	50,200	-73,000	—
Net proceeds of long-term debt	—	—	—	399,255	390,877
Repurchase of Common Shares	-44,329	-22,921	-72,048	-6,490	-11,460
Cash dividends paid to common shareholders	-45,130	-61,564	-64,773	-66,759	-73,961
Interest paid	-28,282	-32,759	-35,373	-45,715	-59,130
Repayment of Debentures	—	—	—	—	-7,101
Repayment of long-term debt and loans	-54	-8,532	-23,912	-219,988	-236,579
Repayment of lease liabilities	-17,526	-23,264	-28,086	-39,803	-48,564
Net proceeds from Common Share issuances	—	—	—	931	2,276
Changes in non-cash working capital items from financing activities	-9	148	-54	-37	-308
Net cash used in financing activities	-46,285	-215,137	-174,046	-51,606	-43,950
Cash flows from investing activities:					
Acquisitions net of cash acquired	-207,531	-25,573	-25,628	-59,059	-181,622
Purchase of property, plant and equipment	-68,204	-81,410	-101,598	-71,513	-95,816
Proceeds on sale of property, plant and equipment	20,746	48,604	12,785	15,167	17,884
Purchase of intangible assets	—	—	—	-50	—
Proceeds on sale of non-core business	—	16,500	—	—	—
Interest received	422	395	794	6,129	6,457
Net investment in finance leases	1,013	255	192	464	2,290
Other assets	-3,518	3,422	-213	-3,423	827
Proceeds on sale of investments	—	—	1,868	70	65
Dividends from equity investees	99	490	1,150	450	705
Changes in non-cash working capital items from investing activities	1,379	324	756	-139	-2,025
Net cash used in investing activities	-255,594	-36,993	-109,894	-111,904	-251,235
Change in cash and cash equivalents	-103,912	10,840	-7,193	132,607	10,795
Cash and cash equivalents at January 1	105,340	—	8,757	2,295	126,286
Effect of exchange rate fluctuations on cash held	-1,428	-2,083	731	-8,616	7,557
Cash and cash equivalents at December 31	—	8,757	2,295	126,286	144,638

Source: Company Filings (Annual Financial Report), Author Analysis

Appendix 4: Balance sheet (2021-2025)

	2021	2022	2023	2024	2025
Assets					
Current assets:					
Cash and cash equivalents	—	8,757	2,295	126,286	144,638
Trade and other receivables	248,868	284,899	278,011	292,273	301,611
Inventory	35,121	42,035	47,693	45,735	45,085
Derivative financial instruments – current portion	—	—	24,023	—	26,598
Prepaid expenses	19,074	19,107	22,238	22,612	28,244
Current tax receivable	6,046	5,526	8,991	7,519	17,595
	309,109	360,324	383,251	494,425	563,771
Non-current assets:					
Property, plant and equipment	985,971	981,624	1,035,192	1,046,150	1,070,620
Right-of-use assets	78,032	87,756	92,978	217,682	233,992
Goodwill	358,726	365,995	367,084	374,205	447,668
Intangible assets	99,155	99,624	91,002	112,221	192,609
Investments	38,518	45,570	43,201	44,216	43,321
Deferred tax assets	9,630	6,699	7,285	7,142	1,017
Derivative financial instruments	37,392	46,436	19,334	30,560	—
Other assets	5,463	2,103	2,335	5,887	17,347
	1,612,887	1,635,807	1,658,411	1,838,063	2,006,574
Total Assets	1,921,996	1,996,131	2,041,662	2,332,488	2,570,345
Liabilities and Equity					
Current liabilities:					
Accounts payable and accrued liabilities	144,198	151,023	151,180	159,023	204,168
Dividends payable	3,781	5,577	5,284	6,137	6,701
Current tax payable	3,338	19,386	3,757	4,322	3,335
Lease liabilities – current portion	17,890	20,992	25,578	43,433	45,915
Current portion of long-term debt	54	213	243,596	25	26
	258,306	219,991	502,395	212,940	260,145
Non-current liabilities:					
Convertible debentures – debt component	113,458	115,806	118,153	120,501	—
Long-term debt	461,505	481,597	230,931	649,257	791,480
Lease liabilities	63,363	70,871	72,826	184,340	217,126
Decommissioning liabilities	1,616	1,549	1,599	1,652	1,676
Deferred tax liabilities	135,084	132,920	140,874	146,925	159,457
	775,026	802,743	564,383	1,102,675	1,169,739
Equity:					
Share capital	853,614	845,267	801,255	797,814	908,970
Convertible debentures – equity component	9,116	9,116	9,116	9,116	—
Contributed surplus	22,578	18,619	20,141	20,880	30,748
Accumulated other comprehensive income	1,088	2,868	2,298	4,283	3,046
Retained earnings	2,268	97,527	142,074	184,780	197,697
	888,664	973,397	974,884	1,016,873	1,140,461
Total Liabilities and Equity	1,921,996	1,996,131	2,041,662	2,332,488	2,570,345

Source: Company Filings (Annual Financial Report), Author Analysis

Appendix 5: Less-Than-Truckload (2021-2025)

Segment Financials

	2021	2022	2023	2024	2025
Revenue	585,318	778,728	770,446	750,389	779,070
Income (loss) before income taxes	38,778	77,588	61,324	67,491	54,523
Depreciation of property, plant and equipment	18,847	20,641	22,966	23,841	26,471
Amortization of intangible assets	8,597	8,251	7,631	6,841	8,304
Capital expenditures	28,962	31,309	49,387	28,978	35,209
Total assets	517,659	544,792	566,671	599,298	648,419

Revenue Decomposition

	2022	2023	2024	2025
Total YoY change	193.4	-8.3	-20	28.7
From acquisitions	117.8	33.7	13	38.3
Divestiture				
Fuel surcharge	64.8	-22.5	-14	-8.8
Business Units (excluding fuel surcharge and acquisitions)	10.8	-19.5	-19	-0.8

Segment Analysis

	2021	2022	2023	2024	2025
YoY Revenue Growth		33%	-1%	-3%	4%
Pre-tax Margin	7%	10%	8%	9%	7%
OIBDA Margin	11%	14%	12%	13%	11%
CapEx Intensity	5%	4%	6%	4%	5%
Asset Turnover	1.1x	1.4x	1.4x	1.3x	1.2x
4-year CAGR	7.4%				

Appendix 6: Logistics & Warehousing (2021-2025)

Segment Financials

	2021	2022	2023	2024	2025
Revenue	465,614	609,288	564,949	606,992	738,094
Income (loss) before income taxes	49,660	114,807	79,307	64,017	67,389
Depreciation of property, plant and equipment	13,078	15,868	14,622	15,277	16,080
Amortization of intangible assets	7,776	6,266	2,685	4,162	8,595
Capital expenditures	17,538	22,487	22,410	21,129	21,631
Total assets	366,624	397,865	386,003	560,517	683,495

Revenue Decomposition

	2022	2023	2024	2025
Total YoY change	143.7	-44.4	42.1	131.1
From acquisitions	35.8		86.6	142
Divestiture		-6.5		
Fuel surcharge	36.9	-9.8	-7.2	-5.9
Business Units (excluding fuel surcharge and acquisitions)	71	-28	-37.3	-5.0

Segment Analysis

	2021	2022	2023	2024	2025
YoY Revenue Growth		31%	-7%	7%	22%
Pre-tax Margin	11%	19%	14%	11%	9%
OIBDA Margin	15%	22%	17%	14%	12%
CapEx Intensity	4%	4%	4%	3%	3%
Asset Turnover	1.3x	1.5x	1.5x	1.1x	1.1x
4-year CAGR	12.2%				

Appendix 7: Specialized & Industrial Services (2021-2025)

Segment Financials

	2021	2022	2023	2024	2025
Revenue	313,394	400,605	467,980	457,050	409,166
Income (loss) before income taxes	10,174	33,213	57,153	44,199	31,585
Depreciation of property, plant and equipment	34,148	26,493	27,579	27,156	24,669
Amortization of intangible assets	5,679	925	1,393	1,682	1,682
Capital expenditures	11,020	11,374	24,344	16,561	33,603
Total assets	385,411	383,443	422,594	395,044	367,220

Revenue Decomposition

	2022	2023	2024	2025
Total YoY change	87.2	67.4	-10.9	-47.9
From acquisitions	9.1	53.2	17.9	
Fuel surcharge	10.9	-4.5	-1.2	-3.7
Divestiture		-4.5		
Business Units (excluding fuel surcharge and acquisitions)	67.2	23.2	-27.6	-44.2

Segment Analysis

	2021	2022	2023	2024	2025
YoY Revenue Growth		28%	17%	-2%	-10%
Pre-tax Margin	3%	8%	12%	10%	8%
OIBDA Margin	16%	15%	18%	16%	14%
CapEx Intensity	4%	3%	5%	4%	8%
Asset Turnover	0.8x	1.0x	1.1x	1.2x	1.1x
4-year CAGR	6.9%				

Appendix 8: U.S. & International Logistics (2021-2025)

Segment Financials

	2021	2022	2023	2024	2025
Revenue	118,193	221,844	198,269	184,517	219,178
Income (loss) before income taxes	1,065	-448	-1,551	-1,317	2,221
Depreciation of property, plant and equipment	945	1,953	1,011—	—	
Amortization of intangible assets	839	1,760	1,824	1,851	3,688
Total assets	80,816	69,471	65,024	67,304	127,307

Revenue Decomposition

	2022	2023	2024	2025
Total YoY change	103.6	-23.5	-13.8	34.7
From acquisitions				35.4
Business Units (excluding fuel surcharge and acquisitions)	103.6	-23.5	-13.8	-0.7

Segment Analysis

	2021	2022	2023	2024	2025
YoY Revenue Growth		88%	-11%	-7%	19%
Pre-tax Margin	1%	0%	-1%	-1%	1%
OIBDA Margin	2%	1%	1%		
Asset Turnover	1.5x	3.2x	3.0x	2.7x	1.7x
4-year CAGR	16.7%				

Appendix 9: Outstanding Private Placement Debt

Series	Principal (CDN)	Coupon
Series M	$300.0M	5.93%
Series N	$102.8M	6.50%
Series O	$325.0M	6.04%
Series P	$68.5M	6.91%
Total	$796.3M	
Principal-weighted average	6.13%	

Appendix 10: Beta Regression (May 2021 – May 2026)

Adjusted Beta	0.86
R-squared	0.17
Correlation	0.41
Observations	261
MTL annualized volatility	25.1%
TSX annualized volatility	12.9%

Appendix 11: Valuation Support (Base Case)

	Historical					Forecast				
	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
LTL Revenue	$585	$779	$770	$750	$779	$791	$807	$799	$807	$815
L&W Revenue	$466	$609	$565	$607	$738	$905	$923	$914	$928	$946
S&I Revenue	$313	$401	$468	$457	$409	$397	$409	$389	$373	$381
U.S.&I Revenue	$118	$222	$198	$185	$219	$265	$254	$262	$260	$254
Total Revenue	$1,477	$1,999	$1,994	$1,989	$2,133	$2,358	$2,393	$2,364	$2,368	$2,396
Growth %		*35.7%*	*-0.5%*	*-0.1%*	*7.3%*	*10.5%*	*1.5%*	*-1.2%*	*0.2%*	*1.2%*
Gross Profit	$422	$572	$590	$604	$640	$707	$710	$691	$682	$683
Gross Margin %	*28.6%*	*28.6%*	*29.6%*	*30.3%*	*30.0%*	*30.0%*	*29.7%*	*29.2%*	*28.8%*	*28.5%*
Adjusted EBITDA	$236	$330	$328	$332	$316	$349	$342	$326	$315	$310
Adjusted EBITDA Margin %	*16.0%*	*16.5%*	*16.5%*	*16.7%*	*14.8%*	*14.8%*	*14.3%*	*13.8%*	*13.3%*	*12.9%*
EBIT	$122	$217	$212	$201	$169	$201	$192	$175	$163	$157
Operating Margin %	*8.3%*	*10.9%*	*10.6%*	*10.1%*	*7.9%*	*8.5%*	*8.0%*	*7.4%*	*6.9%*	*6.6%*
NOPAT	$92	$163	$159	$151	$127	$151	$144	$131	$122	$118
(+) D&A	$114	$113	$116	$131	$146	$148	$150	$151	$152	$153
(-) Capex	$68	$81	$102	$72	$96	$80	$75	$75	$75	$75
(-) Change in NWC	$6	$29	-$14	-$2	-$41	($15)	$5	$2	$2	$2
UFCF	$132	$166	$187	$212	$218	$234	$214	$205	$197	$194
Discount Rate						6.6%	6.6%	6.6%	6.6%	6.6%
Discount Period						1	2	3	4	5
PV of UFCF						$220	$188	$169	$153	$141

Terminal Growth Method

Terminal Growth Method	
WACC	6.6%
Terminal Growth Rate	2.0%
Implied Exit Multiple	7.8x
PV UFCF Sumed	$871
Terminal Year UFCF	$2572
PV of Terminal Year	$1868
EV	**$2,739**
Less: Debt	-$792
Add: Cash	$145
Equity Value	**$2,092**
S.O.	96.3
Implied Price	**$21.72**
1-Yr Target	**$23.30**
Current Price	$21.50
Implied Return	1.0%

Terminal Growth Sensitivity Analysis

Discount Rate	1.00%	1.50%	2.00%	2.50%	3.00%
5.60%	$22.47	$25.03	$28.32	$32.66	$38.67
6.10%	$20.07	**$22.09**	**$24.61**	**$27.83**	$32.09
6.60%	$18.11	**$19.74**	**$21.73**	**$24.20**	$27.36
7.10%	$16.48	**$17.82**	**$19.42**	**$21.37**	$23.80
7.60%	$15.11	$16.22	$17.54	$19.11	$21.03

Exit Multiple Method

Exit Multiple Method	
WACC	6.60%
Exit Multiple	7.8x
Implied Growth Rate	2.0%
PV of UFCF	$871
Terminal Year EBITDA	$310
PV of Terminal Year	$1,756
EV	**$2,627**
Less: Debt	($792)
Add: Cash	$145
Equity Value	**$1,980**
S.O. (diluted)	96.3
Implied Price	**$20.56**
1-Yr Target	**$22.05**
Current Price	$21.50
Implied Return	-4.4%

Exit Multiple Sensitivity Analysis

Discount Rate	6.8x	7.3x	7.8x	8.3x	8.8x
5.60%	$19.41	$20.64	$21.86	$23.09	$24.32
6.10%	$18.88	**$20.07**	**$21.27**	**$22.46**	$23.66
6.60%	$18.36	**$19.52**	**$20.56**	**$21.83**	$22.99
7.10%	$17.86	**$18.98**	**$20.10**	**$21.22**	$22.34
7.60%	$17.37	$18.45	$19.54	$20.62	$21.71

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